

December 3, 2025 08:17 PM GMT

Alchip Technologies Ltd | Asia Pacific

Read-across from AWS re:Invent and Marvell results; keep OW

Trainium3's revenue contribution to Alchip should stay intact, while Alchip should be able to support both UALink and NVLink for Trainium4. Reiterate OW – accumulate on dips in particular.

Alchip stock was down 7% yesterday vs. the Taiex up 1%. We cite two factors:

- 1. Alchip plays a key role in design service for both the Trainium3 system and Trainium4 chips. There could have been profit-taking after AWS re:Invent yesterday, when the Trainium3 system and Trainium4 chip architecture were announced.
- 2. Key competitor Marvell (covered by Joe Moore) guided for ASIC business to grow in 2026. Investors are also concerned that Marvell's ASIC growth in 2026 and 2027 could be at the expense of Alchip.

The concern around Marvell's competition for AWS XPU business lingers: While we understand investors' concerns, in [Joe's report](#), he indicated, "In CY26 we think that the 20% growth is realistic, and comes mostly from XPU attach opportunities, with (per management) minimal contribution from the next big ASIC opportunity". We suggest building positions on dips given Alchip's potential 2026 revenue upside from Trainium3 and its higher revenue content in the Trainium4 product cycle.

What about Trainium3 news at re:Invent or from the AWS announcement? We believe Alchip remains the only true design service provider for Trainium3 because it finished the computing die and CoWoS-R circuit designs in July. Some investors have asked whether the potential 3nm wafer supply from Broadcom and Marvell for Trainium will one day turn into real business for Trainium4 and negatively affect Alchip. We think differently and expect the stock to re-rate once Alchip's earnings grow with AWS's Trainium4 demand during 2027-29. We reiterate our Trainium3 forecast of US\$2.3bn in 2026 and US\$3.3bn in 2027. We suggest building positions on any correction arising from concerns about Broadcom/Marvell competition in Trainium projects – the competition looks overstated, or the impact on Alchip is almost zero. We reiterate our OW rating on Alchip; at 20x our 2026e EPS we find the stock attractive. *Please see inside and Joe Moore's [Astera Labs report](#) for key takeaways.*

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Alchip Technologies Ltd (3661.TW, 3661.TT)				
Greater China Technology Semiconductors Taiwan				
Stock Rating	Overweight			
Industry View	Attractive			
Price target	NT\$4,388.00			
Up/downside to price target (%)	38			
Shr price, close (Dec 3, 2025)	NT\$3,190.00			
52-Week Range	NT\$4,470.00-1,945.00			
Mkt cap, curr (mn)	NT\$259,710			
Avg daily trading value (mn)	NT\$8,277			
Fiscal Year Ending	12/24	12/25e	12/26e	12/27e
EPS (NT\$)**	79.05	65.68	163.36	186.57
EPS (NT\$)§	78.85	66.83	134.16	176.72
Revenue, net (NT\$ mn)	51,969	32,543	104,889	136,056
P/E	41.5	48.6	19.5	17.1

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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Alchip's 3nm project shows upside, offsetting near-term revenue weakness

AWS event takeaways

Trainium3 at re:Invent:

- **Trainium3 UltraServer** – Up to 144 Trainium3 chips in a single system, delivering 4.4x more computing performance and 4x better energy efficiency than Trainium2.
 - Testing Trainium3 UltraServers with OpenAI's open weight model GPT-OSS, customers can get 3x higher throughput per chip and 4x faster response times than Trainium2 UltraServers.
- **Focus on cost saving**
 - Customers including Anthropic, Karakuri, Metagenomi, NetoAI, Ricoh, and Splash Music are reducing training and inference costs by up to 50%.
 - Decart is getting 4x faster inference for real-time generative video at half the cost of GPUs, and Amazon Bedrock is already running production workloads on Trainium3.
- **Model workload** – Trainium3 is designed for both dense and expert-parallel workloads with advanced data types (MXFP8 and MXFP4) and improved memory-to-computing balance for real-time, multi-modal, and reasoning tasks.
- **Memory** – 144 GB of HBM3e memory and 4.9 TB/s of memory bandwidth

Trainium4 at re:Invent:

- **Networking** – Support for both UALink and NVLink
 - According to Joe's report [Astera Labs Inc: AWS Trainium 4 unveiling points to new ALAB opportunities \(3 Dec 2025\)](#), "Amazon's use of NVLink Fusion caused a tailspin in Astera Labs, but it is actually incremental – this will be used in hybrid racks with both GPU and Trainium 4.
- **Performance** - Compared to Trainium 3, the next generation chip will deliver six times the FP4 performance, 4 times the memory bandwidth and two times the memory capacity.

Implications for Alchip

We believe Alchip is also the only design service provider for the electrical I/O die, given its strong partnerships with Synopsys and Astera Labs ([link](#)). The future optical chiplet selection remains to be seen if/when Trainium enters CPO, but Alchip has formed a partnership with Ayar Labs (see [SEMICON Taiwan takeaways](#)) to compete.

We still believe Alchip is the only design service provider for Trainium4. From our [Summit Feedback](#), "Alchip seeks a 'win-win' situation with the major customer at 2nm, meaning Alchip's revenue and profits can grow with the customer's demand, at least better than the 3nm generation, given Alchip's value-added to this complex 2nm design.

No changes to our Trainium3 chip forecasts after our recent CoWoS model updates

Our industry checks show no change to AWS Trainium3 CoWoS allocation, still implying 1.2mn units in 2026. Investors asked whether Anthropic adopting TPU would affect Trainium3 demand. Anthropic's press release names AWS as its main cloud provider: "We remain committed to our partnership with Amazon, our primary training partner and cloud provider." (See [link](#).)

AWS Trainium2: Marvell handles the 5nm AWS Trainium2 design service. We checked current Trainium2 volumes in Asia across upstream and downstream. This indicates 1.2mn units on the upstream in 2025. For 2026, we assume T2 volumes fall to 320k units.

AWS Trainium3: Our Asian supply chain checks suggest that Trainium3 chip volume could be somewhere between 1.2mn to 1.8mn units in 2026, with the upside depending on TSMC's 3nm supply. We expect higher production volumes from April 2026. We estimate 550-600k Trainium3 chips for Alchip in 2026, suggesting US\$2.3bn in revenue, which could further increase to US\$3.3bn in 2027.

AWS Trainium4: Our Asian Semi team also thinks it is highly likely that Alchip can continue to win 2nm given lower cost, better service, and third-party IP support (see [link](#)). We assume that Trainium4 enters small production in late 2027, followed by a fast ramp in 2028.

Exhibit 1: AWS ASIC volume forecasts based on CoWoS capacity allocation and MS Asia Semi team's view

k Units	2023	2024	2025e	2026e	2027e	2028e
Trainium1/Inferentia2	300	600	30			
Trainium2		300	1,200	320		
Trainium3			20	1,190	1,500	250
Trainium4					50	1,300
Total	300	900	1,250	1,510	1,550	1,550

Source: Morgan Stanley Research (e) estimates

Exhibit 2: Design services: custom chip projects mapping table

	Alchip	Global Unichip	Broadcomm	Marvell	TSMC direct	Samsung direct	SMIC direct	MediaTek	Socionext	Intel direct	VeriSilicon
AWS – Annapurna	Inferentia2/Trainium1 (7nm) Trainium3 (3nm)			Trainium2/Trainium2.5 (5nm)	Graviton 1 (16nm) Graviton 2 (7nm) Graviton 3 Nitro Networking Chip					AI fabric chips (18A) Xeon 6 (3nm)	
Amazon – Lab 126	Kindle processor Echo processor (12nm)	Echo processor (5nm)									
Google		Security Chip Axiom2 CPU (3nm) Axiom3 CPU (IP Only)	TPU v1/TPU v2 TPU v3/TPU v4 TPU v5/TPU v6e (Trillium) TPU v7p (Bronwood, 3nm) TPU v7e (3nm)	Maple CPU (5nm) Axiom3 CPU (7nm)	Axiom1 CPU (5nm) Tensor (3nm)	Tensor (7nm) Tensor (5nm)		TPU v3 TPU v8p (3nm) TPU v8e (3nm)			
Microsoft		Maia 100 (5nm) Cobalt 100 (5nm) Maia 200 (3nm)		Maia 200 enhancement (3nm)				Azure IoT XBox Bluray			
Meta	Oculus ASIC MTIA v4?	MTIA v4 (CoWoS) MTIA v5 (SoW)	MTIA v1 MTIA v2 MTIA v3 MTIA v3.5 MTIA v4?	Switch Networking AI Networking MTIA v4?				Oculus ASIC MTIA v4?	CPU (3nm)?		
Apple			Custom Networking Chip								
Sony	TV ASIC Smartphone ISP	DSC ASIC						PSS South Bridge			
Tesla/xAI	D1/Dojo (7nm)	AI accelerator xAI (5nm) xAI (3nm)			D1/Dojo (7nm) D2/Dojo (5nm) AI5 (3nm)	Autopilot 3.0/FSD 1 (14nm) Autopilot 4.0/FSD 2 (7nm) AI6 (2nm)					
Li Auto	ADAS High-end (5nm) ADAS Low-end (5nm)										ADAS
GM – Cruise									5nm		
Intel – Habana	Gaudi 1 (16nm) Gaudi 2/Goya 2 (7nm) Gaudi 3/Goya 3 (5nm)	Goya 1 (16nm)									
OpenAI			AI Custom Chip								
Baidu						Kunlun 1 (14nm) Kunlun 3 (5nm)					
Alibaba – T-head		Generation 1			Kunlun 2 (7nm) Hanguan Zixiao (12nm)						
Tencent											
ByteDance			AI accelerator (7nm) 5nm?					AI accelerator (3nm)			AI accelerator
Nvidia								GB10 N1X		x86 CPU	

Source: Company data, Morgan Stanley Research

Alchip's 2025 NT\$ revenue could decline >35% YoY

We project a 37% Y/Y decline in 2025 NT\$ revenue, reflecting earlier strong TWD appreciation against US\$ and several projects delays or de-commitments, including 3nm crypto, Li Auto, and Habana. US\$-denominated revenue could decline 35% Y/Y, missing the company's guidance of a 10-20% Y/Y decline. We expect Alchip's revenue to rebound strongly in 2026 with Trainium3 and Li Auto contribution.

2026 looks strong with >100% Y/Y revenue growth, driven by:

- 3nm turnkey revenue ramp;
- Li Auto's 5nm project ramp-up; and
- Potential 2nm NRE revenue.

Other factors include some Japanese consumer ASIC projects and low production of AI ASIC from US AI start-ups.

Exhibit 3: Our bottom-up assumptions for Alchip's revenue growth

Revenue (US\$ mn)	2024e	2025e	2026e	2027e	2024 Y/Y	2025 Y/Y	2026 Y/Y	2027 Y/Y
NRE								
Total NRE	376	357	550	461	55%	-5%	54%	-16%
Turnkey								
AWS	700	150	2,300	3,300	40%	-79%	1433%	43%
Intel Habana	200	300	0	0	567%	50%	-100%	NA
Amazon Lab126	60	40	50	50	NA	-33%	25%	0%
Sony	50	20	0	0	NA	-60%	-100%	NA
Chinese CPU	40	10	10	10	NA	-75%	0%	0%
Li Auto	0	20	350	500	NA	NA	NA	NA
Japan Consumer	0	50	100	100	NA	NA	NA	NA
Others	190	101	206	191	-7%	-47%	104%	-7%
Total turnkey	1,240	691	3,016	4,151	69%	-44%	336%	38%
Total revenue	1,616	1,048	3,566	4,612	66%	-35%	240%	29%

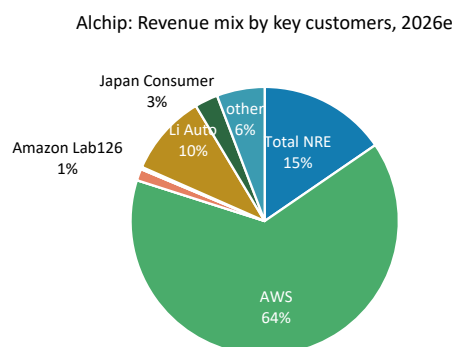
Revenue mix	2024e	2025e	2026e	2027e
NRE				
Total NRE	23%	34%	15%	10%
Turnkey				
AWS	43%	14%	64%	72%
Intel Habana	12%	29%	0%	0%
Amazon Lab126	4%	4%	1%	1%
Sony	3%	2%	0%	0%
Chinese CPU	2%	1%	0%	0%
Li Auto	0%	2%	10%	11%
Japan Consumer	0%	5%	3%	2%
Others	12%	10%	6%	4%
Total turnkey	77%	66%	85%	90%
Total revenue	100%	100%	100%	100%

Source: Company data, Morgan Stanley Research (e) estimates

The stock looks attractive from a long-term perspective

Alchip stock is trading at 20x and 18x our 2026e and 2027e EPS, vs. its five-year average of 28x. Our price target implies 27x and 24x, respectively. We think these target multiples are justified by:

- Our 2024-27e revenue CAGR of 38%;
- Our view that AI ASICs will outgrow AI GPUs in the coming years; and
- Alchip's position as one of the few ASIC design service providers that can deal with increasingly complex 2nm designs with strong production/design track records for large leading-edge chips.

Exhibit 4: We expect AWS to account for c.65% of Alchip's 2026e revenue

Source: Company data, Morgan Stanley Research (e) estimates

Exhibit 5: Alchip: NTM rolling P/E

Source: Company data, FactSet, Morgan Stanley Research

Alchip: Quarterly Financials

Exhibit 6: Alchip: Quarterly financials

(NT\$ mn) YE DEC 31	1Q25	2Q25	3Q25P	4Q25E	1Q26E	2Q26E	3Q26E	4Q26E	2023	2024	2025E	2026E	2027E
Total revenues	10,485	9,144	6,661	6,253	7,165	29,009	33,278	35,436	30,482	51,969	32,543	104,889	136,056
Q/Q Change	-19.8%	-12.8%	-27.2%	-6.1%	14.6%	304.8%	14.7%	6.5%	122.1%	70.5%	-37.4%	222.3%	29.7%
Y/Y Change	0.0%	-32.7%	-55.1%	-52.2%	-31.7%	217.2%	399.6%	466.7%					
Cost of Sales	8,056	7,257	4,817	4,346	5,446	23,120	26,955	28,703	23,687	41,768	24,476	84,225	111,898
Percent of Revenues	76.8%	79.4%	72.3%	69.5%	76.0%	79.7%	81.0%	81.0%	77.7%	80.4%	75.2%	80.3%	82.2%
Gross Profit	2,429	1,887	1,844	1,907	1,720	5,889	6,323	6,733	6,794	10,201	8,067	20,664	24,159
Gross Margin	23.2%	20.6%	27.7%	30.5%	24.0%	20.3%	19.0%	19.0%	22.3%	19.6%	24.8%	19.7%	17.8%
Incremental Margin	NM	NM	NM	NM	-21%	19%	10%	19%	14%	16%	NM	17%	11%
Total Opex	934	737	686	739	1,052	1,320	1,447	1,394	3,033	3,705	3,097	5,213	6,088
Percent of Revenues	8.9%	8.1%	10.3%	11.8%	14.7%	4.5%	4.3%	3.9%	10.0%	7.1%	9.5%	5.0%	4.5%
R&D	467	494	450	550	600	650	700	700	1,547	2,142	1,961	2,650	3,249
Percent of Revenues	4.5%	5.4%	6.8%	8.8%	8.4%	2.2%	2.1%	2.0%	5.1%	4.1%	6.0%	2.5%	2.4%
General & Adm Exp.	406	157	167	167	416	426	436	516	1,237	1,286	898	1,796	2,196
Percent of Revenues	3.9%	1.7%	2.5%	2.7%	5.8%	1.5%	1.3%	1.5%	4.1%	2.5%	2.8%	1.7%	1.6%
Selling Expenses	61	86	69	22	36	243	310	177	250	276	238	767	643
Percent of Revenues	0.6%	0.9%	1.0%	0.4%	0.5%	0.8%	0.9%	0.5%	0.8%	0.5%	0.7%	0.7%	0.5%
Operating Income	1,494	1,150	1,158	1,168	667	4,569	4,876	5,339	3,761	6,496	4,970	15,452	18,071
Operating Margin	14.3%	12.6%	17.4%	18.7%	9.3%	15.8%	14.7%	15.1%	12.3%	12.5%	15.3%	14.7%	13.3%
Total Non-operating Income (loss)	299	449	429	410	327	327	327	327	436	1,312	1,587	1,309	1,191
Profit Before Taxes	1,793	1,599	1,587	1,577	995	4,896	5,203	5,667	4,198	7,808	6,557	16,761	19,261
Percent of Revenues	17.1%	17.5%	23.8%	25.2%	13.9%	16.9%	15.6%	16.0%	13.8%	15.0%	20.1%	16.0%	14.2%
Taxes	332	277	265	263	194	955	1,015	1,105	877	1,362	1,137	3,268	3,852
Tax Rate	18.5%	17.3%	16.7%	16.7%	19.5%	19.5%	19.5%	19.5%	20.9%	17.4%	17.3%	19.5%	20.0%
Minor interest	-2	-1	-1	-1	0	0	0	0	-5	1	-7	0	0
Total Net Income to Parent	1,464	1,324	1,322	1,316	801	3,942	4,189	4,562	3,325	6,446	5,426	13,493	15,409
Percent of Revenues	14.0%	14.5%	19.8%	21.0%	11.2%	13.6%	12.6%	12.9%	10.9%	12.4%	16.7%	12.9%	11.3%
Y/Y change	19.0%	-16.6%	-26.3%	-28.3%	-45.3%	197.8%	216.8%	246.7%	81.3%	93.8%	-15.8%	148.7%	14.2%
EPS for Consensus(NT\$)	17.69	16.02	16.01	15.93	9.70	47.72	50.71	55.23	43.27	79.05	65.68	163.36	186.57
Reported Basic EPS (NT\$, TW GAAP)	18.13	16.37	16.35	16.27	9.90	48.74	51.79	56.41	45.42	81.51	67.11	166.84	190.54

Source: Company data, Morgan Stanley Research (E) estimates

Alchip: Valuation methodology

Our price target remains at NT\$4,388: We continue to derive our price target/base case value from a residual income model. All of our key assumptions are unchanged, including cost of equity of 10.4% (beta of 1.4, equity risk premium of 6.0%, and risk-free rate of 2.0%), intermediate growth rate of 16%, and terminal growth rate of 5.0%.

Our bear case value and bull case value also remain at NT\$1,840 and NT\$5,130, respectively.

Exhibit 7: Alchip: Residual income model

NT\$ million	2025E	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
Total Equity	39,477	40,467	50,323	59,646	70,462	83,008	97,561	114,443	134,026	156,742	183,092	213,659
Net Profit	5,361	13,527	15,408	17,873	20,733	24,050	27,899	32,362	37,540	43,547	50,514	58,596
ROAE	18.6%	33.8%	33.9%	32.5%	31.9%	31.3%	30.9%	30.5%	30.2%	30.0%	29.7%	29.5%
Residual Income	1,486	9,254	9,527	11,124	12,806	14,756	17,017	19,639	22,679	26,206	30,296	35,040
Spread	8.2%	23.4%	23.5%	22.1%	21.5%	20.9%	20.5%	20.1%	19.8%	19.6%	19.3%	19.1%
Ending Equity Capital	39,477											
PV of Forecast Period	93,607											
PV of Continuing Value	229,459											
Equity Value	362,542											
No. of Shares	83											
Projected Price	4,388											

Source: Morgan Stanley Research (E) estimates

Risk Reward – Alchip Technologies Ltd (3661.TW)

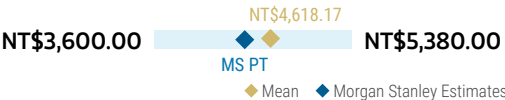
AI ASIC project demand remains strong in 2026

PRICE TARGET NT\$4,388.00

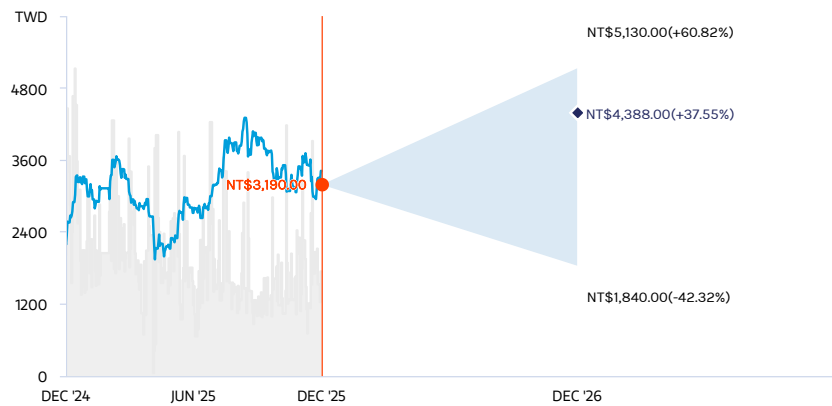
Base case value, derived from a residual income model. We assume the cost of equity is constant at 10.4% (2% risk-free rate, 6% risk premium, 1.4 beta). Our intermediate growth rate and terminal growth rates are 16% and 5%, respectively.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



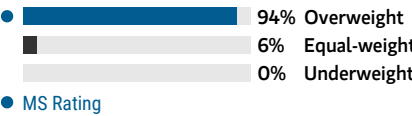
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We continue to believe that AI ASICs will outgrow AI GPUs in the coming years, and Alchip is one of the few ASIC design service providers that can deal with increasingly complex designs (at 2nm) with good production/design track records for large leading edge chips.
- AWS's announcement of its 3nm Trainium 3 chip matches the timing of Alchip's 3nm project win. The growing number of use cases for Trainium (e.g., Apple's adoption) bodes well for Alchip's revenue growth in 2026.
- We believe Alchip has strong potential to win Trainium 4.
- Our price target implies 27x our 2026e EPS, which we find undemanding vs. our >30% revenue CAGR for 2024-27e.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: Positive
Secular Growth: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE	NT\$5,130.00	BASE CASE	NT\$4,388.00	BEAR CASE	NT\$1,840.00
31x 2026e EPS		27x 2026e EPS		11x 2026e EPS	
Al chipsets and HPC projects start to proliferate, amid substantial end demand. Alchip's leading-edge tape-out numbers increase significantly, with some high-profile project wins at 3nm or even 2nm. Alchip is able to secure enough foundry capacity (front-end wafers and back-end packaging) and substrates for all of its leading-edge turnkey production. Alchip gradually gains market share within the design service market, amid continued proliferation of custom chip demand.					
AI chipsets and HPC projects start to proliferate amid strong end demand, resulting in steady growth in tape-outs and volume. There might be a slowdown in Alchip's Chinese customers' design activity for leading-edge chips as a result of US export controls; we believe this would be largely offset by ASIC demand strength from non-China regions.					
AI chipsets and HPC projects lack concrete end demand, resulting in delayed tape-outs and mass production. Alchip's leading-edge project pipeline deteriorates, or some customers turn directly to TSMC. AI GPU's dominance in AI computing compresses the market share gain potential for overall ASIC, with customers starting to slow their custom silicon developments - and therefore ASIC procurement plans.					

Risk Reward – Alchip Technologies Ltd (3661.TW)

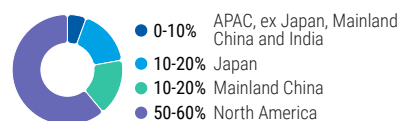
KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
HPC revenue (NT\$, mn)	48,521	27,661	82,862	107,485
Networking revenue (NT\$, mn)	612	430	1,049	1,361

INVESTMENT DRIVERS

- New promising AI chipset entrants
- NRE revenue growth
- Faster migration of semi industry to 7nm

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Demand for Chinese GPUs and AI chipsets takes off earlier than expected.
- NRE demand accelerates.
- Alchip wins more US hyperscaler HPC projects.

RISKS TO DOWNSIDE

- China's HPC localization progress slows down.
- AI chipset progress is much slower to develop.
- NRE demand decelerates.
- Pricing competition intensifies.

OWNERSHIP POSITIONING

Inst. Owners, % Active **67.9%**

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2025e

Sales / Revenue (NT\$, mn)

32,299 **32,543** 37,327

33,043

EBITDA (NT\$, mn)

7,100 **7,100** 9,808

8,120

Net income (NT\$, mn)

5,117 **5,426** 5,746

5,424

EPS (NT\$)

63.35 **65.68** 71.29

66.83

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Alchip: Financial summary

Income Statement

NT\$m (Years End Dec)	2024	2025E	2026E	2027E
Net sales	51,969	32,543	104,889	136,056
COGS	(41,768)	(24,476)	(84,225)	(111,898)
Gross profit	10,201	8,067	20,664	24,159
Operating expenses	(3,705)	(3,097)	(5,213)	(6,088)
Operating income	6,496	4,970	15,452	18,071
Non-operating income	1,312	1,587	1,309	1,191
Pre-tax income	7,808	6,557	16,761	19,261
Income tax	1,362	1,137	3,268	3,852
Minority Interest	1	(7)	0	0
Reported net income	6,446	5,426	13,493	15,409
Adj.wtd.avg.shrs(m)	79	81	81	81
EPS for Consensus (NT\$)	79.05	65.68	163.36	186.57
Modelware EPS (NT\$)	79.05	65.68	163.36	186.57

Balance Sheet

NT\$m (Years End Dec)	2024	2025E	2026E	2027E
Cash	27,044	33,266	25,539	23,778
Mkt Securities	16	16	16	16
AR/NR	5,730	2,557	8,242	10,691
Inventory	8,661	5,940	20,442	27,158
Other	4,733	4,733	4,733	4,733
Current Assets	46,184	46,513	58,972	66,377
Long-term investments	1,600	1,600	1,600	1,600
Fixed assets	1,775	1,775	1,775	1,775
Deferred assets	169	169	169	169
Other assets	582	582	582	582
Total Assets	50,309	50,638	63,098	70,502
S/T borrowings	0	0	0	0
AP/NP	1,826	1,099	3,783	5,026
Other ST liabilities	8,845	8,845	8,845	8,845
LT debt	0	0	0	0
Other LT liabilities	161	161	161	161
Common shares	806	806	806	806
Total Liabilities	10,833	10,105	12,789	14,032
Additional capital	25,350	25,350	25,350	25,350
Retained earning	10,752	11,808	21,584	27,746
Other shareholders' equity	2,568	2,568	2,568	2,568
Total Equity	39,477	40,533	50,309	56,470
Total Liab. & Shrhldr's Equity	50,309	50,638	63,098	70,502

E = Morgan Stanley Research Estimates

Source: Morgan Stanley Research, Company Data

Cash Flow Statement

NT\$m (Years End Dec)	2024	2025E	2026E	2027E
Cashflow from Operations	3,358	12,721	(1,881)	9,616
Net profits	6,446	5,426	13,493	15,409
Depreciation	2,129	2,129	2,129	2,129
Working Capital Change	(869)	5,166	(17,503)	(7,923)
Other adjustments	(4,348)	0	0	0
Cashflow from Investing	(676)	(2,129)	(2,129)	(2,129)
Capex	(1,998)	(2,129)	(2,129)	(2,129)
Change of LT Investment	1,748	0	0	0
Change of ST Investment	(953)	0	0	0
Other adjustments	527	0	0	0
Cashflow from financing	12,855	(4,370)	(3,716)	(9,248)
Increase in L/T debt	0	0	0	0
Increase in S/T debt	0	0	0	0
Cash Dividend Paid	(1,818)	(4,370)	(3,716)	(9,248)
Issuance of stock	0	0	0	0
Other adjustments	14,673	0	0	0
Exchange rate adjustment	1,348	0	0	0
Net change in cash	16,885	6,222	-7,726	-1,761

Financial Ratios

	2024	2025E	2026E	2027E
Growth(%)				
Turnover	70.5	-37.4	222.3	29.7
Operating profits	72.7	-23.5	210.9	16.9
Pretax profits	86.0	-16.0	155.6	14.9
Net profits	93.8	-15.8	148.7	14.2
EPS	82.7	-16.9	148.7	14.2
Margins (%)				
Gross Margin	19.6	24.8	19.7	17.8
Operating Margin	12.5	15.3	14.7	13.3
Pretax Margin	15.0	20.1	16.0	14.2
Net Profit	12.4	16.7	12.9	11.3
Return (%)				
ROAE	22.4	13.6	29.7	28.9
ROAA	15.6	10.8	23.7	23.1
Gearing (%)				
Net Debt/Equity	(68.5)	(82.1)	(50.8)	(42.1)
Liabilities/Equity	27.4	24.9	25.4	24.8
Ratios (X)				
Current ratio	4.3	4.7	4.7	4.8
Quick ratio	3.1	3.6	2.7	2.5
Others				
AR/NR Turnover (days)	29	29	29	29
Inventory Turnover (days)	89	89	89	89
AP Turnover (days)	16	16	16	16
Cash Conversion (days)	101	101	101	101

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1501	41%	389	46%	26%	661	41%
Equal-weight/Hold	1608	44%	379	44%	24%	736	46%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	567	15%	83	10%	15%	212	13%
Total	3,680		852			1610	

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Stock Price, Price Target and Rating History (See Rating Definitions)

Alchip Technologies Ltd (3661.TW) - As of 12/03/25 GMT in TWD
Industry : Greater China Technology Semiconductors



Stock Rating History: 12/1/20 : 0/I; 4/12/21 : E/I; 5/14/21 : 0/I; 10/12/21 : 0/C; 10/4/22 : 0/A; 2/22/23 : 0/I; 7/7/23 : 0/A; 7/21/24 : 0/I; 7/14/25 : 0/A

Price Target History: 11/17/20 : 880; 2/19/21 : 1180; 4/12/21 : 780; 9/23/21 : 980; 10/8/21 : 1090; 10/30/21 : 1190; 2/10/22 : 1280; 3/7/22 : 1420; 10/18/22 : 1280; 3/13/23 : 1340; 4/26/23 : 1380; 5/10/23 : 1480; 6/12/23 : 1800; 7/3/23 : 2130; 7/7/23 : 2280; 8/14/23 : 2330; 9/12/23 : 2880; 11/3/23 : 3180; 1/2/24 : 3880; 2/14/24 : 4880; 6/10/24 : 4280; 9/26/24 : 3800; 12/16/24 : 3988; 7/3/25 : 4088; 8/12/25 : 4588; 9/17/25 : 4288; 11/5/25 : 4388

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (12/03/2025)
Charlie Chan		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$32.87
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb259.48
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$105.50
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$3,190.00
Andes Technology Corp (6533.TW)	O (08/04/2022)	NT\$267.50
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$229.00
Global Unichip Corp (3443.TW)	O (07/27/2024)	NT\$2,145.00
GlobalWafers Co Ltd (6488.TWO)	O (09/19/2025)	NT\$383.50
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$340.00
Hua Hong Semiconductor Ltd (1347.HK)	U (10/21/2025)	HK\$73.95
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$226.00
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb69.41
MediaTek (2454.TW)	O (11/28/2025)	NT\$1,400.00
Nanya Technology Corp. (2408.TW)	O (09/18/2025)	NT\$151.00
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb433.85
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb119.15
Phison Electronics Corp (8299.TWO)	O (03/11/2025)	NT\$1,070.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb64.82
Silergy Corp. (6415.TW)	O (02/13/2025)	NT\$201.00
SMIC (0981.HK)	O (10/21/2025)	HK\$67.20
TSMC (2330.TW)	O (02/07/2022)	NT\$1,450.00
UMC (2303.TW)	E (10/28/2024)	NT\$47.50
Vanguard International Semiconductor (5347.TWO)	U (08/05/2024)	NT\$91.20
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$146.00
Daisy Dai, CFA		
ASMPT Ltd (0522.HK)	O (07/24/2025)	HK\$77.35

China Resources Microelectronics Limited (688396.SS)	E (06/19/2025)	Rmb53.30
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$129.50
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb103.58
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb27.97
Innoscence (2577.HK)	E (10/13/2025)	HK\$73.35
JCET Group Co Ltd (600584.SS)	U (09/25/2024)	Rmb36.61
Shanghai Anlogic Infotech Co Ltd (688107.SS)	E (05/14/2024)	Rmb26.89
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$38.76
SICC Co Ltd (688234.SS)	E (09/03/2025)	Rmb85.46
StarPower Semiconductor Ltd (603290.SS)	O (03/01/2022)	Rmb101.00
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb76.06
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb22.38
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb63.80
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$399.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,235.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$6,565.00
Egis Technology Inc (6462.TWO)	O (10/21/2025)	NT\$130.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb175.14
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb207.60
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$32.80
Montage Technology Co Ltd (688008.SS)	++	Rmb118.10
Novatek (3034.TW)	E (11/10/2025)	NT\$390.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$53.30
Parade Technologies Ltd (4966.TWO)	O (10/03/2025)	NT\$645.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$32.10
Realtek Semiconductor (2379.TW)	O (06/19/2025)	NT\$538.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb81.53
Sino Wealth Electronic (300327.SZ)	U (03/31/2025)	Rmb28.78
Winbond Electronics Corp (2344.TW)	O (03/11/2025)	NT\$55.80
WPG Holdings (3702.TW)	U (11/10/2025)	NT\$65.90
Duan Liu		
Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb117.00
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	O (03/11/2025)	Rmb241.88
Tiffany Yeh		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$349.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$418.00
Himax Technologies Inc (HIMX.O)	O (05/09/2025)	US\$7.74
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$88.63

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* Historical prices are not split adjusted.